

Advanced Micro Devices, Inc.

AMD

Technology

RATING	PRICE	TARGET
Sell	\$323.21	\$260.00

MARKET CAP \$526.97B	P/E (FWD) 80.5x	P/B RATIO 5.54x
ROE 6.9%	DIV. YIELD N/A	52W RANGE \$91.87 - \$352.99

Investment Thesis

“AMD has demonstrated robust top-line momentum, with revenue compounding at a 20.5% CAGR from 2021 to 2025 and accelerating 34.3% in fiscal 2025, driven by sustained share gains in high-performance computing and AI-oriented data center markets. Margin expansion remains a key forward catalyst, as EBITDA margins are projected to inflect materially from the 21% historical range toward 39-42% by 2025-2027, reflecting improving operating leverage and a favorable product mix shift. Trading at a forward EV/EBITDA of approximately 47.8x, AMD commands a premium to Intel while remaining at a meaningful discount to NVIDIA, positioning the stock as a compelling risk-adjusted opportunity for investors seeking differentiated AI semiconductor exposure.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a global semiconductor company headquartered in Santa Clara, California, that designs and sells high-performance computing and graphics solutions for a broad range of end markets. Founded in 1969, AMD operates primarily through two business segments: Data Center and Client, which together address the growing demand for artificial intelligence workloads, cloud computing infrastructure, traditional enterprise computing, and consumer electronics.

AMD's core product portfolio includes its EPYC server processors, Ryzen consumer and professional CPUs, Radeon graphics cards, and Instinct accelerators, which have become increasingly critical to the company's growth

narrative in the AI and data center space. The Instinct MI series of GPU accelerators, in particular, positions AMD as a direct competitor to NVIDIA in the high-growth AI training and inference market, while EPYC processors continue to gain meaningful share against Intel in the server CPU segment.

From a market position standpoint, AMD occupies a unique competitive space as the only company offering both high-performance CPUs and GPUs at scale, placing it at the intersection of two of the most important secular trends in technology. While NVIDIA maintains a commanding lead in AI accelerator revenue and Intel retains substantial enterprise relationships, AMD has demonstrated consistent share gains across its addressable markets over the past several years.

Financially, AMD has delivered impressive top-line growth, with revenue expanding from approximately 16.4 billion dollars in 2021 to 34.6 billion dollars in 2025, representing a five-year compound annual growth rate of roughly 20.5 percent. The company experienced a modest revenue contraction in 2023 due to weakness in the PC market, but recovered strongly with 13.7 percent growth in 2024 and an accelerating 34.3 percent expansion in 2025, driven largely by data center demand. Contribution margins have steadily improved, reaching 49.5 percent in 2025, reflecting favorable product mix and operating leverage. EBITDA grew to 7.3 billion dollars in 2025, with forward estimates projecting meaningful margin expansion toward 42 percent by 2027 as higher-value AI products constitute a greater share of the revenue mix. EPS has recovered from a trough of 0.53 dollars in 2023 to 2.67 dollars in 2025, with continued growth expected through the forecast period. The stock trades at an EV/EBITDA multiple of approximately 47.8 times on 2025 figures, a premium to Intel but a discount to NVIDIA, reflecting AMD's strong growth prospects balanced against execution risk in the intensely competitive AI accelerator market.

Investment Overview

Advanced Micro Devices, Inc. (AMD) Investment Update

AMD delivered strong financial performance in fiscal year 2025, with revenue reaching approximately **\$34.6 billion**, representing **34.3%** year-over-year growth and continuing the company's impressive five-year revenue CAGR of **20.5%**. EBITDA expanded to **\$7.3 billion**, with EBITDA margin improving to **21.0%**, reflecting continued operating leverage across the business. EPS recovered meaningfully to \$2.67 in 2025, up from \$1.01 in 2024, signaling improving profitability and earnings quality.

The primary growth driver remains AMD's Data Center segment, where its EPYC server processors and Instinct GPU accelerators are gaining meaningful market share amid surging enterprise and hyperscaler demand for AI and high-performance computing workloads. The competitive positioning against Intel continues to strengthen, as evidenced by AMD's consistently superior EBITDA trajectory relative to Intel over the past two years. While NVIDIA retains a dominant lead in AI accelerator EBITDA, AMD represents a credible second-source alternative as customers seek to diversify their AI infrastructure supply chains.

Looking ahead, revenue is projected to grow modestly at 5-**6%** annually through 2027, reaching approximately **\$40.1 billion**. Notably, forward estimates project a significant step-up in EBITDA margins toward 39-**42%**, suggesting meaningful operational efficiencies and a richer product mix. SG&A leverage is also expected to improve gradually over the forecast period.

AMD currently trades at an EV/EBITDA of approximately **47.8x** on 2025 figures, a premium to Intel but a meaningful discount to NVIDIA. Given AMD's improving competitive positioning in AI infrastructure and expanding margin

profile, the risk-reward profile remains constructive for long-term investors, though near-term execution on GPU ramp remains a key variable to monitor.

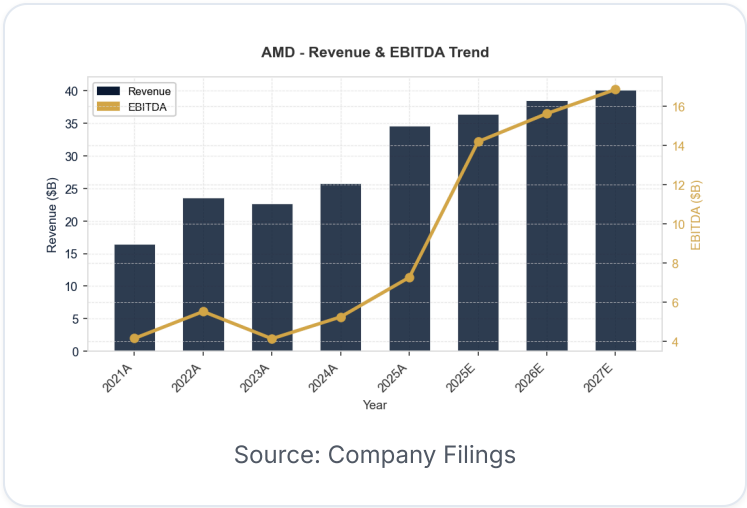
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$34.64B
EBITDA (2025A)	\$7.28B
Revenue Growth (2025A)	34.3%

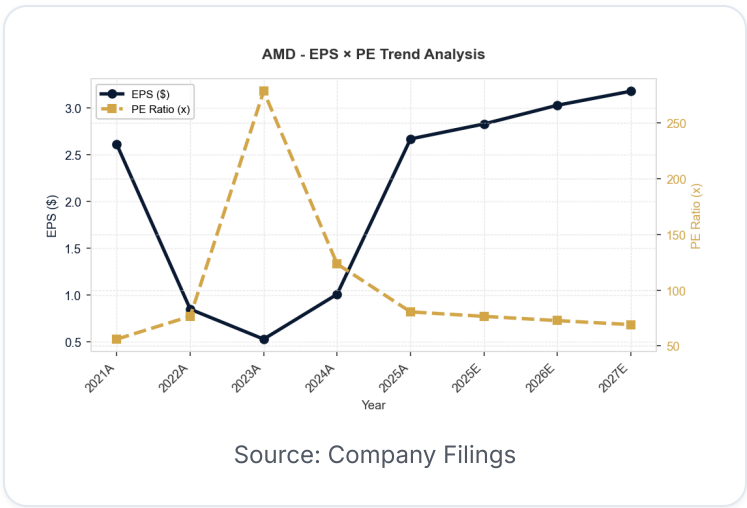


Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	2.67
PE Ratio (2025A)	80.54



Valuation Analysis

Advanced Micro Devices (AMD) Valuation Analysis

Current Valuation Metrics

AMD currently trades at a trailing P/E of approximately **80.5x** based on 2025 actual EPS of \$2.67, declining to an estimated **76.5x** and **72.7x** on 2025E and 2026E earnings respectively. The EV/EBITDA multiple stands at **47.8x** on 2025 actuals, reflecting a premium valuation relative to its near-term earnings power. Revenue has grown at a **20.5%** CAGR over the review period, supported by accelerating data center and AI-driven demand, though forward growth estimates moderate to 5-6% annually through 2027, which raises questions about sustaining current multiples.

Peer Comparison

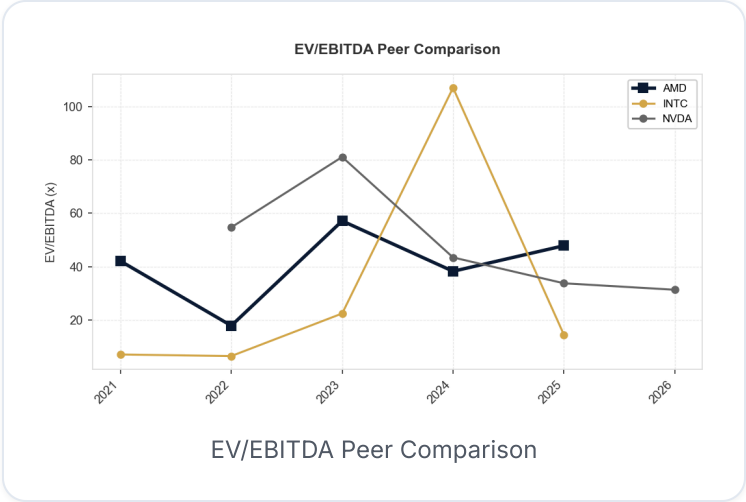
Relative to peers, AMD trades at a meaningful premium to Intel (INTC), which carries an EV/EBITDA of approximately **14.5x** in 2025, reflecting Intel's significant operational and competitive challenges. NVIDIA (NVDA), the dominant AI accelerator player, trades at **33.8x** EV/EBITDA in 2025, tightening toward **31.4x** in 2026 as its earnings scale dramatically. AMD's **47.8x** multiple sits above NVIDIA despite NVIDIA generating substantially higher EBITDA growth, suggesting AMD carries an aspirational premium that may be difficult to justify near term.

Fair Value Assessment

AMD's projected EBITDA margin expansion from **21%** in 2025 actuals to an estimated **42%** by 2027E is ambitious and represents a significant re-rating catalyst if achieved. Applying a more conservative 35-**40x** EV/EBITDA multiple, more consistent with a maturing semiconductor cycle, implies moderate downside risk to current prices. A fair value range of approximately **\$95 to \$120** per share appears reasonable, with upside contingent on sustained AI GPU market share gains and margin execution. Investors should monitor competitive positioning against NVIDIA closely.

Peer Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4



Recent News & Events

News Summary

Advanced Micro Devices is approaching its next earnings report amid a complex mix of strong AI-driven momentum and emerging valuation concerns. AMD stock has been a standout performer in the semiconductor space, with revenue growing **34.3%** in 2025 to approximately **\$34.6 billion**, driven primarily by its EPYC server processors and Instinct GPU accelerators capturing share in the booming AI infrastructure buildout. The company has demonstrated consistent earnings surprises, and Wall Street broadly expects continued growth in the upcoming quarterly report.

However, the stock faces near-term headwinds. AMD shares dropped sharply alongside Nvidia, Arm Holdings, and Broadcom in pre-market trading, signaling a potential cooling of the extended AI trade rally. Some analysts are flagging that current valuations are getting ahead of fundamentals, with AMD trading at an

EV/EBITDA of roughly **47.8x** versus Nvidia at **33.8x**, raising questions about whether the premium is justified given AMD's more modest growth trajectory compared to its chief AI rival.

Forward estimates project revenue reaching **\$40.1 billion** by 2027 at a **20.5%** CAGR, with EBITDA margins expanding meaningfully toward **42%**, suggesting the profitability story remains intact. EPS is expected to grow steadily from **\$2.67 to \$3.18** over the same period.

Retail sentiment is notably divided. Reddit activity shows high buzz but only **31%** bullish positioning, while X.com users are more optimistic at **61%** bullish despite a falling trend. This wide divergence suggests uncertainty heading into the earnings catalyst.

For investors, AMD represents a credible second-source AI play with improving margins, but entry points matter given elevated multiples and increasing competitive pressure from Nvidia's accelerating dominance in AI accelerator revenue.

Retail Sentiment Insights

AVERAGE BUZZ 56.1/100	BULLISH AVG 64.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 72.0/100 Bullish 31.0% Mentions 2298 Trend rising	X.com Buzz 83.7/100 Bullish 61.0% Mentions 3058 Trend falling	Polymarket Buzz 12.7/100 Bullish 100.0% Trades 3 Trend rising	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: **5.0%**
- 2025E EBITDA Margin: **39.0%**
- 2026E Revenue Growth: **6.0%**
- 2026E EBITDA Margin: **40.5%**
- 2027E Revenue Growth: **4.0%**
- 2027E EBITDA Margin: **42.0%**

Confidence Intervals:

- Revenue: **\$28.3B - \$51.9B (95% confidence)**

▸ EBITDA: **\$11.9B - \$21.8B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: **±5%** change in growth rate
- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$28.3B — \$51.9B
EBITDA	\$11.9B — \$21.8B

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- **Market** (2026-04-28): 5 Women-Run Company Stocks to Buy for Strong Market Returns
- Impact: LOW, Probability: **50%**
- **Earnings** (2026-04-28): Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-28): AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-28): Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth
- Impact: HIGH, Probability: **95%**
- **Market** (2026-04-28): AMD: Inference And Agentic AI Are Expanding Its Runway
- Impact: LOW, Probability: **50%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-28): Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative
- Impact: HIGH, Probability: **95%**
- **Acquisition** (2026-04-27): Eagle Wealth Advisors LLC Invests \$1.19 Million in Advanced Micro Devices,

Inc. \$AMD

- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-27): 3,688 Shares in Advanced Micro Devices, Inc. \$AMD Bought by Anchyra Partners LLC
- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-26): AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD
- Impact: HIGH, Probability: **40%**

Events to Monitor

- Should You Buy AMD Stock Before the Huge Investor Update? (2026-04-28)
- AMD Stock Slips After Cathie Wood's ARK Dumps Millions in Shares (2026-04-27)
- Forget Nvidia: Sudden CPU Shortage Can Make AMD Explode Higher (2026-04-27)

Upcoming Catalysts

▲ **EARNINGS** Impact: medium

Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?

▲ **EARNINGS** Impact: medium

AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality

▲ **EARNINGS** Impact: medium

Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth

▼ **EARNINGS** Impact: medium

Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative

▲ **EARNINGS** Impact: medium

As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit

Positive Catalysts

- ✓ 5 Women-Run Company Stocks to Buy for Strong Market Returns
- ✓ Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?
- ✓ AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality
- ✓ Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth
- ✓ AMD: Inference And Agentic AI Are Expanding Its Runway

- ✓ Prediction: These Artificial Intelligence (AI) Growth Stocks Will Continue to Lead the Nasdaq's Rebound
- ✓ As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD Jumps as AI Demand Lifts Outlook
- ✓ AMD: Compute-For-Equity Looks Dilutive, But It's Actually A Strategic Masterstroke
- ✓ The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up
- ✓ 3 AI Stocks That Can Beat Nvidia Over the Next Five Years
- ✓ Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?

Risk Factors

- ⚠ Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative
- ⚠ Eagle Wealth Advisors LLC Invests \$1.19 Million in Advanced Micro Devices, Inc. \$AMD
- ⚠ 3,688 Shares in Advanced Micro Devices, Inc. \$AMD Bought by Anchysa Partners LLC
- ⚠ AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD

Technical & Advanced Analysis

Technical Overview — AMD

Current Price: **\$323.21** | 52-Week Range: **\$91.87 - \$352.99**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$226.47** | SMA 200: **\$208.43**

RSI Overbought
RSI (14): **81.0** — Overbought territory, potential pullback.

MACD Bullish
MACD: **30.23** | Signal: **22.75** | Histogram: **7.48**

Volume Normal
Latest: **42.8M** | 20d Avg: **39.8M** | Ratio: **1.08x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AMD	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B	-	\$8.6B
INTC	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B	-	\$47.4B
NVDA	-	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B	\$382.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4

Analysis

Advanced Micro Devices, Inc. (AMD) operates in a highly competitive semiconductor industry, primarily competing with Intel Corporation (INTC) and NVIDIA Corporation (NVDA).

In terms of revenue growth, AMD has shown impressive performance with a compound annual growth rate (CAGR) of **20.5%** from 2021 to 2025. This growth trajectory is indicative of AMD's increasing market share and strong

product offerings. However, the revenue dip in 2023, with a decline of **3.9%**, suggests potential volatility and market challenges.

Comparatively, AMD's EBITDA shows mixed results. While AMD's EBITDA declined in 2023, its projected growth through 2027 suggests a recovery, albeit at a slower pace than NVDA. NVIDIA, on the other hand, exhibits stronger EBITDA figures, particularly significant growth from 2024 onwards, highlighting its robust market position in graphical processing units (GPUs) and artificial intelligence. Intel's EBITDA also shows volatility, with a notable dip in 2024, reflecting its ongoing strategic and competitive challenges.

AMD's EBITDA margin, peaking at a projected **42%** in 2027, indicates improving operational efficiency, though it lags behind NVDA's superior margins. This suggests that while AMD is enhancing profitability, it remains behind NVIDIA in optimizing cost structures and premium product positioning.

From a valuation perspective, AMD's PE ratio is notably higher than its peers, particularly in 2023, indicating market optimism or potentially overvaluation relative to earnings. Similarly, AMD's EV/EBITDA ratio has fluctuated, signaling varying investor sentiment and market conditions. NVIDIA, with its consistently high EV/EBITDA ratios, reflects strong investor confidence in its long-term growth potential.

In summary, while AMD shows commendable revenue growth and improving profitability, it faces significant competition from NVIDIA's market dominance and Intel's extensive resources. AMD's focus on innovation and efficiency improvements will be crucial in sustaining its competitive edge.

Risk Factors

AMD Investment Risk Analysis

Key Investment Risks

- **Severe NVIDIA Competitive Displacement:** NVDA's EBITDA is projected to reach **\$382B by 2027 vs. AMD's \$8.6B** — a 44x gap — suggesting AMD risks being structurally marginalized in the AI GPU market despite its own growth trajectory
- **Aggressive Margin Expansion Assumptions:** Estimated EBITDA margins jump dramatically from **21.0% (2025A) to 39.0-42.0% (2025E-2027E)**, representing an unrealistic near-doubling that may signal overly optimistic modeling and significant downside earnings risk if execution falters
- **Revenue Growth Deceleration:** Projected revenue growth decelerates sharply from **34.3% (2024) to 5-6% (2026E)**, raising questions about AMD's ability to sustain premium valuation multiples (P/E ~70-76x) as the growth narrative weakens
- **Historical Earnings Volatility:** EPS has been highly inconsistent — **\$2.61 → \$0.85 → \$0.53 → \$1.01 → \$2.67** — demonstrating AMD's vulnerability to cyclical downturns, integration costs, and competitive pricing pressure, undermining earnings predictability

- **Elevated Valuation vs. Deteriorating Intel Benchmark:** AMD trades at **EV/EBITDA ~47.8x vs. Intel's 14.5x**, and Intel's projected EBITDA recovery to **\$47B by 2027** signals a potential competitive resurgence that could compress AMD's market share and force multiple contraction

Key Takeaways

Revenue Growth

AMD's revenue has experienced a strong compound annual growth rate (CAGR) of **20.5%** from 2021 to 2027. Despite a slight decline in 2023, the company is expected to continue growing, with revenue projections increasing by **5.0%** in 2025E, **6.0%** in 2026E, and **4.0%** in 2027E.

Gross Profit Margin

The gross profit margin, reflected in the contribution margin, has shown improvement from **44.9%** in 2022 to an estimated **52.5%** by 2027E. This positive trend indicates that AMD is becoming more efficient in converting its revenue into actual profit.

SG&A Expense Margin

The SG&A expense margin has increased from **8.8%** in 2021 to **12.0%** in 2025A, but it is projected to decline gradually to **10.5%** by 2027E. This suggests that AMD is working on managing its administrative and selling expenses more effectively relative to its revenue.

EBITDA Margin

AMD's EBITDA margin has seen fluctuations, dropping from **25.3%** in 2021 to a low of **18.3%** in 2023, before rebounding to an estimated **42.0%** by 2027E. This recovery in margins shows AMD's potential for improving operational efficiencies and profitability over the next few years.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	-	43.6%	-3.9%	13.7%	34.3%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
EBITDA/Int Exp	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.0	2.4	2.5	2.6	2.9
Cash Flow to Debt Ratio	5.33	1.25	0.56	1.37	1.72

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